

Q1-Q3 2025 Business Review -- Customer Retention

Memo

Prepared by the Customer Success team for the executive review. This memo summarizes what we are seeing on the ground and is intended to complement the quantitative revenue analysis being run separately.

Rising support ticket volume

Support ticket volume has climbed steadily since Q1. The most common themes in tickets are billing confusion after price changes, complaints about slower response times, and requests to speak with a retention specialist before cancelling. Our support team believes this is an early warning signal for churn rather than a cause of it -- customers who file a support ticket are already showing signs of dissatisfaction.

Discounting as a retention lever

Starting in February, the sales team was authorized to offer larger discounts to at-risk accounts as a retention tactic. While this has helped slow immediate cancellations in some segments, several account managers have flagged concern that heavier discounting is eroding margin faster than it is preventing churn, and that customers who churn after receiving a discount tend to churn anyway after the promotional period ends.

Competitive pressure

A competitor launched a lower-priced tier in January, targeting the same small-business segment as our core product. Several lost accounts cited price as the primary reason for leaving in exit interviews, though a similar number cited support responsiveness.

Marketing budget reallocation

The marketing team shifted a portion of the paid acquisition budget toward content marketing and organic channels in Q2, expecting this to pay off over a longer horizon. Short-term lead volume from paid channels has declined as a result, and it is not yet clear whether organic channels are compensating for the gap.

Recommendation

We recommend the data science team investigate whether the rise in churn is better explained by the erosion in active customer count, the increase in discounting, or the reduction in paid marketing spend, before committing to any single remediation strategy.